

Date: 30/04/2025

To,
The Corporate Relationship Dept.,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051

Symbol: - AIMTRON
ISIN: - INE0RUV01018

Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015 – Transcripts of Post Earnings Conference Call held on 24th April, 2025.

Dear Sir/Madam,

With reference to our letter dated 15-04-2025 regarding an Intimation and Invite for Conference Call of Investors and Analysts scheduled on Thursday, 24th April, 2025, and pursuant to Regulation 30 and Part A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, we hereby provide transcripts of the company's H2FY25 Post Earnings Conference Call held with the Investors/Analysts.

In compliance with Regulation 46 (2) (oa) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript will also be available on the website of the Company.

Link to access Transcript: <https://www.aimtron.in/investors-meets-presentations/>

This is for your information and records.

Thanking you,

Yours faithfully,

FOR AIMTRON ELECTRONICS LIMITED

MUKESH JERAM VASANI
Chairman & Director
DIN: 06542536



AIMTRON ELECTRONICS LIMITED

H2 & FY25

POST EARNINGS CONFERENCE CALL

April 24, 2025 05:00 PM IST

Management Team

Mr. Mukesh Vasani, Chairman (Promoter)
Mr. Nirmal Vasani, Non-Executive Director
Mr. Sneh Shah, Whole Time Director
Ms. Nikita Shah, Chief Financial Officer

Call Coordinator



Strategy & Investor Relations Consulting

Presentation

Vinay Pandit: Ladies and gentlemen, I welcome you all to the H2 and FY '25 Post Earnings Conference Call of Aimtron Electronics Limited. Today on the call from the management team, we have with us Mr. Mukesh Vasani, Chairman; Mr. Nirmal Vasani, Non-Executive Director; Mr. Sneh Shah, Director, Sales; and Ms. Nikita Shah, Chief Financial Officer. As a disclaimer, I would like to inform all of you that this call may contain forward-looking statements, which may involve risks and uncertainties. Also a reminder that this call is being recorded.

I would now request the management to run us through the investor presentation for the half year ended 31st March 2025 and the performance highlights for the quarter and the year that went by, post which we will open the floor for Q&A. Over to the management team.

Mukesh Vasani: Hello, everybody. Can you hear me now, Vinay?

Vinay Pandit: Yes, yes.

Mukesh Vasani: All right. Actually, some people may be from other part of the world also, so I say Namashkar. So that's my favourite word. I'm so happy and proud today to share that we have a very good result and because thanks to the team and thanks to all the community, investor professionals. I really appreciate your support. Thanks to actually Aimtron team also that we met the expectation. Yes, we have some queries and some questions though that was we had some last time also because we are evolving process, correct?

So in this year also, we had lot of good things, which each team member will share. But lot of queries because we also changed some of the standard also on accounting ways. It's not as typically standard. But last year versus this year, we added some more structuring of the balance sheet and P&L statement. So you can see some differences and queries also, we can see the result today, and we are here to answer all the questions.

I would like to also thank you, Nirmal Vasani, who came all the way from U.S. to specially meet this investor connect. And also, he is the one responsible also meeting on the manufacturing team, the operations lead and meeting few key customers also. So he's involving on the India business, too. So let me actually give Nirmal first, so he can just introduce first himself a little bit about his journey, and then I'll take it again from there. Nirmal, are you there?

Nirmal Vasani:

Yes, I am. So, it's very exciting for me to be here. This is the first time that if I'm recalling properly, that I've had a chance to come to India to address, to meet with everyone and really thank all of our investors for all of their support since we did our listing. And so it's a great pleasure for me personally to be here. I have spent quite a long time understanding Aimtron.

I've been with the organisation since 2012. And I've gone through and done all of the tasks that operation is responsible for. I've gone through and done the creation of our presentations for our marketing role. I've talked to customers. I've been very customer-facing. I've been development-facing, working with projects that are design-oriented or engineering oriented in nature. And now I'm able to take all of that experience and really culminate that into excellence in operations for the entire Indian organisation. And so for AEL and for me, it's both a very exciting step in our journey forward, and I'm very proud and happy to be a part of it.

Mukesh Vasani:

Thank you, Nirmal. I think everybody is excited to see the result and ask some questions. So we're going to jump on to Sneha, who is actually, a proud moment that is also now a Director and Board member is a Whole-Time Director now. So Sneha Shah, you can take the lead and do some presentation and then maybe we can involve our financial team also whenever you need it. But let's hand over to Sneha first.

Sneha Shah:

Sure. Thanks, thanks Mukesh and Nirmal. So to give you a brief like about Aimtron, we incorporated or started in 2011, like '11 to '14 in one company we might seize with one SMT line. And then year-on-year, we had a good progress down the line. And then today, we are at almost as teenager size where like 2014, we acquired one piece of land and then we started our own facility in Waghodia, GIDC, which was like inaugurated by Vajubhai Vala at that phase of time, he was Karnataka Governor.

And then 2018, we achieved ₹20 crore and then probably down the line, we like went up to ₹50 crore in '21 and '23 that we inaugurated design centres across Vadodara and Ahmedabad. And 2025, we started last year like our Aimtron Texas facility just to ensure that whatever like U.S. business are there gets diverted to our like wholly owned subsidiary of Aimtron India itself.

2011 onwards, like we have been as a termed as an ESDM, that is electronic system design and manufacturing, where like we provide one-stop solution starting from, say, concept to design, design involves like hardware, firmware, mechanical, test development, test fixtures development, you name it and we do it. And then once design is ready, post that we take it up to like production till like a complete box build system integration where actually it's like plastic or sheet metal or die casting or whatever it would be, wire harnesses and all that. So we, in short, provide a complete one-stop solution on that front.

With our certifications that we have, there are global standards, which approved us as Aimtron to serve in that particular domain. So for instance, like 13485 is for Medtech and like 16949 is for specific to automotive. CDSCO is just like Make in India initiative under like Government of India who is promoting CDSCO for all manufacturing across the globe for Medtech projects. So we do have a couple of our customers for their product. We have taken up this certification. And then we have CSA that is Canadian Standard Association, which approves us to allow us to do business in that particular region where we are even serving a complete UL product.

We even did like in internal audit for AS9100 has already been initiated. And in this Q1, probably we'll be able to close that as well, which I think last business updates, we already shared on that. So with this new SMT line coming up in November last year and it's now full-fledged and a full-fledged operation, that is where that we see this tremendous growth in terms of revenue for previous quarter.

And then we have like around 44 stations and then three box full lines. And the current like machines, they are advanced state-of-the-art machineries, latest available in the market, which can place AI-based or IoT-based chipset or anything beyond that as well coming up in like new technologies like 0201, 105, a bit of a more technical terms, but in future also, which kind of small components are going to get released, which are under like R&D also can be placed with our new machines that are equipped.

This is a brief of like what we are doing on PCB assembly, cable assembly, sheet metal, magnetics, machining, plastics, where like complete system integration is something that we eye on. PES, Mukesh or if you want to pick it up on this?

Mukesh Vasani:

So I think what we need to go a little bit more faster, Sneh, because we have more questions and answers, we need to put some more time. So mostly this presentation already on the website, so they can see. Product catalogue, we already seen a little bit, so we can just move on to this. Let's move on one more time. So whatever new lines we added this time is the network security. We got a big order as of yesterday, so you've seen that. You have seen the SWOT analysis also. Maybe on this one can spend some time, Sneh, we can go there, strategy for growth, if you want to spend a couple of minutes on this one.

Sneh Shah:

Sure, I think in terms of diversification to what we have an end-to-end solution PCBA and box build. So, PCBA as of now is still contributing around 75% and box build somewhere around 27%. And probably down the line, like this new financial year, a domination of box build will be much more like it will be almost around more than 30%, 40% and above.

And to what growth trajectory we are eyeing, last year also, we proved that it is going to be beyond that and that's getting reflected in our numbers as well because if you see year-on-year, it's almost 70% plus growth in terms of revenue. And even PAT has almost gone double from last year if you compare year-on-year. And down the line, like for this year, if we say, then automobile, we already cracked one good order and mass manufacturing probably has started from this month.

And telecom, two big orders, we have like closed into telecom and network security, probably like from next three months onwards that exhibition. So, this is a new domain that we have entered along with aerospace and defence. So last year, if we say we entered aerospace, defence and telecom. And this year now, we entered into network security as well. So these three sectors apart from this last year's drone industry where we committed that next two years, we are eyeing a ₹10 million worth of business. So on top of it, these three also sectors are going to contribute for this year's growth.

So if we talk about this second half of the year, then this new SMT line, which was operational from 1st November, played a vital role, crucial role in catering our increased demand from the existing, as well as new orders for last financial year. And the wholly owned subsidiary that we started, the business flow from there also has been initiated. And down the line, this year also, we are eyeing on that particular because of this tariff situation.

India is on the hotspot now. And because of that, as of now also this as an alternative to China or China +1 strategy. We already closed on three key projects that is from concept. So we are going to develop a product for them, which they were getting it done somewhere around the world and now they're looking out for the alternative source. So we did agreements with them where like product will be developed from scratch and probably like next three years down the line that two, three projects are going to contribute around about \$5 million for our Aimtron India.

And they contribute more on IoT and industrial IoT and power electronics as a sector. And to what we stated in terms of new industries, telecom, we already entered now. Automotive, we closed on one big order for mass manufacturing specific to electric vehicles. And aerospace and defence is something that what we committed for AI in first half of the year that we are expecting one ₹1.8 million order. So we already received that order and now it's under execution.

And to what strategy we discussed on before, like first half and last year that certainly box build contribution is chosen gradually on increase, so that is also getting reflected in last year's result.

Mukesh Vasani:

So, in addition to Sneha's, we have a very good benefit, like we actually for Aimtron is a golden time. It's we don't want to say, tariff is good or bad. I'm not talking about a politician way. But in both world, U.S. and India, we have a very solid infrastructure. So currently, we are seeing lots of activities in RFQs. Current RFQ pipeline itself, about \$80 million to \$90 million means around ₹800 crores to ₹900 crores on that much new RFQ pipeline is flowing through right now.

And everybody like a huge contract, like huge customers, those customers, they don't want to go to China. They don't want to go direct to India. They want us to Indian price, Indian way, but they want ship from Chicago. So that is the benefit we have and we are banking on that, and I think it's a very good opportunity we have at this point. Those three contract we have, all 3's, one is from electrical, electronic power cabinet type of customers, and it's almost we started development for them. Already we got the first PO, and we started tooling.

The second one drone customer, we had last time we showed you that is already in the first phase of beta version. And, on the third customer is also in a sensor. So all three customers almost 10 million each in a three year span. So almost ₹300 crore worth of business, we are

talking in three year span just for new initiative from ESDM initiative, that's what we're going to use a little bit more a better balance margin and mark-up. So I think that's the benefit we have in the tariff side.

A lot of our customers are asking us to use our India infrastructure to avoid to mitigate the tariffs. So we've been proactively working with our customers, all Aimtron Electronics customer in U.S. and North America. We are proactively working with them and finding a solution, working with giving them a solution. One of the customer they came to us also, they are bringing the whole cabinet from China, but they want to build their cabinet from here, a whole slot cabinet, they want to build from us in India. So they are coming next month and see the facility and approve this.

So that's the process going on right now. So we have a lot of good way of balancing the tariff situation. Now the fully loaded questions and excitement. So maybe Nikita, you want to take the lead and or Viral, whoever wants to take the lead and share the result, please? Nikita, are you there, Nikita?

Nikita Shah: Yes, yes.

Mukesh Vasani: Okay. Okay. Good. Continue, yeah.

Nikita Shah: Okay. So my screen is visible?

Mukesh Vasani: Yes. Not your, Sneha, screen. Yeah, continue.

Moderator: Nikita, you can speak from the existing screen itself.

Mukesh Vasani: Okay. Nikita, start it. Nikita started, okay, good. She wants to show her results, so that's why I think, so a lot of question we can solve. Okay, Nikita, continue, yeah.

Nikita Shah: Okay. So, for the 31st March 2025, we have achieved ₹158 CR, total revenue from the operations. Total expenses were ₹129 crore and we stood at the PBT at ₹3,212 lakhs for the financial year 31st, 2025. And the PAT was ₹2,573 in lakhs, so which is a 16 percentage of the total turnover.

Mukesh Vasani: So maybe, Sneha, we can start the questions over here first and while this balance sheet is open. So we can start that way, so because we can -- that's where you see we have everybody, so we can use that one

first. Okay. Anything you want to conclude first before we go in question-and-answer, Vinayji?

Vinay Pandit: No. I think, so let's move to Q&A.

Question-and-Answer Session

Mukesh Vasani: Thank you, everyone. I really excited to see you. Also, we have in-person meet tomorrow, most welcome in the last minute also, if you want to see me and Nirmal both in person, we will be there to answer any more questions tomorrow. But let's start with question now. Vinayji, have your team moderate, please.

Moderator: Thank you. We can stop the presentation. All those who wish to ask a question may use the option of raise hand and we will invite you to ask your questions. We'll take the first question from Agastya Dave. Agastya, you can go ahead, please.

Agastya Dave: Thank you very much for the opportunity. Mukeshji, congratulations on excellent numbers. Sir, first of all, I have a couple of suggestions. One is, if you can also provide going forward a Y-o-Y number for the same period, whether it is quarter-on-quarter or half year on half year, just to see the seasonality effect if there is any, that would be just a small thing.

Sir, second is, I would also request you, if at all possible, if you can start giving quarterly numbers on your own. I know SEBI regulations are different, but six months in such a volatile period because here, the government policy in U.S. and also in India, it changes on a dime within few days. So six months is such a long time, not hearing anything from the company on the performance side. If you could give quarterly numbers or quarterly commentary, that would be of great help to all of us. Please do it voluntarily.

I'm sure you will become a very large company one day. It's better to start inculcating all those good practices right now. Moving on to the questions. One is a follow-up on what you mentioned in your opening remarks that there are a number of reclassifications in the numbers. Sir, if you can take us through those because when I look at the balance sheet and the P&L, a lot of the line items have moved completely out of that and a lot of them are not making sense. So I'll list down what I wouldn't make sense of. One was the employee cost reducing even though your turnover has increased so much. The gross margins, '23 you were at 34%. Last year, you were at 38%. Now this

year in FY25 you have moved to 27%. Then other expenses also, there is quite a dramatic decline there. Again, I'm talking about annual numbers here.

And in the balance sheet also, I see a large jump in payables and receivables. So even though your net working capital seems to be under control, no problems there. But the gross numbers, they have moved dramatically out of that. So how much of this is accounting? How much of this is probably product mix or new customers or some extraordinary circumstances or delayed payments or any problems as such, because there is very little information available, I don't have the right question to ask you. So it's a very like a motherhood statement and a very broad question. If you can take us through that, that would be a great help.

And another suggestion, if you have done a lot of accounting reclassifications, kindly come out with a simple press statement saying what these are and what are the adjustment. So like-to-like comparison if we can get for the year and for the half years, just to compare so that we know in which direction we are going. So as we are scaling up, for example, what will happen to the fixed cost, right. Today, I cannot make head or tail of what is going to happen to the cost structure as we move forward. So that is the first large question.

And the second smaller question is, you have given a guidance of 40% to 50% CAGR going forward, but you have also announced a large order today. And the commentary that Sneh bhai just took us through, there are lot of additions that you have done in products and capabilities. And also the landscape has changed, as you were mentioning. So how do you see the next couple of years panning out? Are you going to increase your guidance? Is the visibility better for you in terms of tangible growth, which can happen in a very short to medium term as in the next couple of years? So these are the two very broad questions. Thank you very much.

Mukesh Vasani:

Really appreciate, Agastyaji, very, very good questions. I really appreciate your request also. Aimtron is a kind of a journey, is it correct? So we never thought about going public and we started public and now we are public. So we are now developing along the way right people at right place. So last time we announced that we hire advisory board. So we have now advisory board. So after advisory board, one of our CA, Mr. Divyakant Zaveri, he suggested that our financials would reflect what we are doing on the floor, which was learning

curve for us. And so that's why we had a last minute lot of changes yesterday. Even Board meeting, we had some changes.

First one example, I think you see employee cost, Nikita will give you every single answer. Every single we have all answers for you. So that's something I would like to just give you that the way we put it the new financial is a little different and it was the last one. And also, we are excited to give the result a little early. We could have taken one week extra and then do everything and then put it together. But yes, your comments is really appreciable. And actually Vinayji also suggested, that we should give some small press release also where you make some changes in a standard format. So we should do that. So definitely, we will move from there.

Regarding this market culture type of American quality of people. So, telling right now 100% growth versus current situation, current tariff situation. But yes, we are planning to bring, but maybe Sneha can give that first answer and Nikita can take it the second answer. So, Sneha you want to take the first answer from Agastya?

Sneha Shah:

Sure. I think, Agastya, very well questioned, and to add on to what Mukesh stated like as we're in evolving phase, there are rates that has been changed in the like balance sheet, just to give you an example. Like initially, like salary and wages were together. But now said like just an example to add on to that salary and employment and wages are part of COGS. So that is how like things have changed as of now. So what we did last year was like from Private Limited to limited, it was first experience for us.

Now Divyakant is a part of Advisory Board today, unfortunately, due to some urgency would not be part of today's meeting. But then now based on his experience, he has been working with like all Tier 1 companies and like to what we are at in the next three years is main board two years now, one year is already done. So that main board journey. So considering that like quarterly results and all that, we are already eyeing on that front. As of now, it's too early to say something on that. But that is the prime reason that structures and heads have changed, like rest all are in line, nothing to worry on that front.

And to what business aspects we are discussing on, probably that 40%, 50% this year also see, if you see it's a 74% year-on-year increase. To what we are eyeing at next year is probably you can say more than 270, 280 more than that for next, like this current financial

year. And to what open order book we have, I think we are confident enough that we'll be surpassing that 270, 280 plus as a number.

Agastya Dave:

Understood. That's a healthy explanation. And if there are a lot of changes, as you mentioned, you have moved part of the employee cost to COGS. So that's a very strange choice, but I'm pretty sure you have a good reason for that. Then we definitely require like-to-like comparisons and also a press release describing what all has changed, so that we can have a good idea, because then it seems that the gross margins are not comparable. And I should not be then worried why the gross margins have dropped so much. So that's not a valid question. Again, I do not know what is the impact. So if you can just provide all the changes that you have done in a press release, so that everyone can understand what exactly happened that would be a great help. But if you can briefly take us through all these changes, we'll appreciate it. I'm done from my side. I'll go back in the queue. Thank you very much. Thank you.

Mukesh Vasani:

Yes, we will definitely put a press release within a short time, and we'll share it to everyone. I think Sneha gave you one example, there are so many examples. Like after new SMT lines, our products went 3x more than we used to do 200 boards, now we are doing 600 boards in the same line. So its impact on revenue increase and lower employee cost also. So there is two ways you can lower the cost also. I think there's so many ways you can explain and we will put all these numbers in a right direction in a right format and we'll show you then.

Agastya Dave:

So then a very simple thing for you. Whenever you come out with a press release, I hope it is done as soon as possible. But if I look at the PAT percentage, the PAT margin, that should not be changing at all, right? There could be some changes in EBITDA percentage also, but PAT percentage should not change. And you guys have reported around 16.1%. So that number, is that sustainable? And the EBITDA margins that we have seen this time in this half. So you are at 19%, so is that sustainable? And is that comparable to the 25% that you were doing earlier? Was there any pressure on the cost or product mix, which led to lowering of EBITDA on a comparable basis?

Mukesh Vasani:

So, I think the PAT is going to be sustainable for sure. I'm pretty sure. EBITDA is while I see, EBITDA will be changed, as you say, because we're going to do more automation, more AI-based more things. So it will save some costs also. Regarding your overall the current market scenario, when we say first time, we'll be there around 16% plus/minus 2% to 3%. That's what we said also. What happened, let's

say, in this quarter or this half year, we have a lot of a different segment of business. Let's say, one segment called defence and we have defence segment, we have a higher margin. So at that time, what happens that defence margin in that half year or that quarter will give you a better EBITDA, better margin versus the next year, let's say, this quarter, maybe we have a very heavy in telecommunication or automotive, so it give you a lower margin.

So if you look at year-over-year, I think that's the best option for EMS. But I know you have, and once we are committed to give once you go mainboard anybody you have to go there quarter-over-quarter, but definitely take your suggestion very seriously and we'll definitely make it happen next time. And next time before we publish the result, we'll take one extra day and make sure we have a press release and everything all together, if any changes. There will be some changes every year because we are still in the SME phase, and we are still in learning phase until we go main board, you will see some more changes and some more learning also continuing.

Sneh Shah: Agastya, on a lighter note, I thought you would appreciate us sharing the results before on time than what everyone expected.

Agastya Dave: Definitely. I appreciate any company which doesn't report the report, on the last day. There will be at least 2,000 to 2,500 jokers who will report on the very last day. So I appreciate that. I also appreciate the progress that you guys are making. And thank you for giving me time, I've taken too much time. I apologise to everyone. I've taken too much time. Thank you very much. All the best.

Moderator: Thank you. We move to the next participant, Shridhar Jadhav. You can go ahead, please.

Shridhar Jadhav: Hello, good evening. Congrats on a good set of numbers. I agree with Agastya what he mentioned. But just still on a broad basis, till EBITDA, even if I look from an H1 to H2 basis, I can still see a stark 6% drop in margins. So just wanted some clarification on that front, because below EBITDA, the numbers are not very significant, if I see finance, depreciation, other income, etc.

Mukesh Vasani: Sneh, you want to take?

Sneh Shah: Sure. So if you certainly see like Mukesh already like clarified on that front, that it is going to be mix and match in terms of sectors when we are eyeing on scalability. So now next year, just an example, when we

are eyeing to like from 158 to, we are eyeing to go to 270, 280 plus. And at that phase of time, particularly if you see then there is going to be mix and match on that front that some may be on a lower margin, some may be on higher margin. So it's better if we go on quarter-to-quarter, like first half of the year versus second half of the year and the full-year comparison, because if you see like the year-on-year comparison, the PAT has been almost double. If you compare on a year-on-year basis in terms of value, that has grown by 100%, revenue has grown by 74%. So if you see on that front growth, we are on that growth trajectory. But yes, if you talk about sustainability to what Agastya stated, this is something of a sustainable margin that we are eyeing at.

Shridhar Jadhav: So if I understand correctly, so going forward, my mix of order book, so my product profile and the kind of orders that I have will going forward dictate my margins broadly. In some quarters, it would be like I would execute higher margin products. In some quarters, it would be like more bulk-based orders. But on a broad basis, sustainable 15% kind of PAT margins is the guidance.

Sneh Shah: Certainly, yes. So like might be the case that first half, just an example like last March, what happened because of this tariff uncertainty, just an example, we might have gone to 170, 175 as well. But then because of this tariff uncertainty, some of them pushed it till they get a clarity. And some of them, they were like you can like ship well in advance because they don't have clarity on what exactly the tariff would be. So I'm just giving a layman language understanding example to take it on a like exact basis. But this is how it would go. But if you see on year-on-year and yearly basis, this margins are something that are sustainable.

Shridhar Jadhav: And coming to the product mix, so box build would typically be an end-to-end kind of a solution. So typically, it would have higher margins. Is that understanding right?

Mukesh Vasani: Yeah. So you are right, end-to-end product has a very high margin and that's also another reason also some half we predicted this time that this product should go in market first versus in automotive or other product goes in the market. So it's not easy to predict. Our mix is still smaller volumes, correct? When we are at ₹1,000 crore, then ₹5 crore, ₹10 crore, ₹25 crore or ₹100 crore order will not much difference. Right now, it will be imbalance because we are still at ₹300 crore, ₹200 crore, whatever Sneh bhai said number, that level we are right now. So that's why maybe one more year, you will see this little bit up

and down. But once we go that higher range next year or year after, you will not see that much fluctuation. But one thing we assure I think the margin is will be, PAT will be sustainable for sure. Yes. Maybe, Sneh, you may add something more on to this, that's what I would like to add.

Sneh Shah:

Sure. Last thing to add on is like if you see, as I stated before as well, this new financial year, probably it is going to be more dominated by box build as compared to last year. So probably again, you might not see that significant rise in first half of the year. But second half of the year to what visibility we have, that will be a significant rise in box build solutions or complete product box build.

Shridhar Jadhav:

And my last question on tariffs, so currently, what are the tariffs on your Indian manufacturing? And going forward, how do you see situation evolving? Are there any industry talks with the government? What are the kind of typical in percentage terms, we are expecting an impact on the business? And how much of it would be neutralised by additional orders coming from China +1 kind of a strategy?

Mukesh Vasani:

So I'll start a little bit Sneh, and then you can add on this. So currently, EMS business, we are working with our customers and preparing them. We are in a service business. So our direct business, current order will not affect at all for. So in EMS business, the tariff impact or any other impact goes next year because we already have an order book, let's say, it was approximately ₹200 crore plus. So that's already booked, is that correct? So you won't see that much different on this current financial year. So we are preparing though our customer how to find a solution.

Let's say, they are buying some, we are only sending one customer only PC board assembly, and they are buying metal from China. So we give them solution, why don't you buy metal from us also. So wherever PC board you are paying 10% extra, so we'll help you to mitigate relieve some of the stress and from bringing from China versus India. So one of the customer, we need about 70 different part number we just developed last only two months, I believe. In the last two months, we believe, we developed those parts and we give the solution to our customer. So we give them a balanced solution to mitigate.

Yes, we are talking with our IPC association. We are in a constant touch with our all these are related to bodies, and then we are trying to figure it out how we can make it. That also another reason you can see

our last quarter, last three months, quarter four, we had a spike in the push, push, push like government April 2nd was a tariff. So give me, give me, give me. So that's another reason why we have so much AR. So that was the question was one of the question came up, so why you have an imbalanced number that's why we had to push our shipment also.

We did ship lot of things before even end of the year, so that's why. But again, yes, we are working with mitigating the tariff. We are also working, helping customers to find another solution. Some customers, we are getting right now getting China. So they are looking. And as I said, we have almost ₹800 crore of new enquiries floated in last just 1.5 month, ₹800 crore worth of business enquiries right now. And those of you, we have not even any forecasted or not even founded anywhere in this discussion today.

Sneh Shah:

Also, so I would say like India is in sweet spot as of now with this tariff situation, because now everyone is relying at China +1 strategy, where like we are eyeing at the India, because Southeast Asian countries also now we are well aware, and they are also going to face much more tariff than us. So I would say India is in sweet spot as of now. And we already have started leveraging that by signing up three agreement for design that we stated before. So that design probably might not add revenue for this year, but then it is going to help us because one project we have signed exclusivity with the customer where once we develop that product, they are bound to take for with Aimtron and next CDSCO time frame. So, that is one China +1 tariff strategy itself.

Mukesh Vasani:

In parallel also, we are Indian business too. So local business in India and other MNCs, so that's also we are growing right now and that is our dream too parallelly we can grow both business.

Moderator:

I would request participants to please limit your questions to two, since there are many in queue. Deepak Poddar, you can please unmute and ask your question.

Deepak Poddar:

Thank you very much for this opportunity. First off just a clarification. I mean, you mentioned our 500 basis point drop in our PAT margin on a half-on-half basis is largely due to the mix and match of different sectors in terms of revenue and there's nothing to do anything with the pricing pressure or anything else, right?

Mukesh Vasani:

Sneh?

Sneh Shah: Yes. It has nothing to do with like profit margin pressure, but it is because of mix and match like we are still in a phase where like we just ensure that 25%, 30% is something that is getting contributed by each sector. And like diversification is something that we are eyeing at. And just an example, we added like two, three sectors last year. Still this year, we are going to add two more sectors. So that is how that we are eyeing at. So it will be a baggage of mix and match.

Deepak Poddar: Understood. And given your box build revenue mix will go higher, there would be upward bias on these margins, I mean, as we go head, right?

Sneh Shah: Margins, I would say like this margins are a sustainable one. So this is something that sustainable margins will continue for this year as well because there is going to be a contribution of box build more this year as compared again, then don't start comparing with the first half of the year, wait for this complete financial year because then box build activities like will start from second half probably. And to what we committed last financial year, we are going to add one more shift probably after Q1, somewhere around in Q2. And that is going to help us out to increase our productivity and efficiency to help us to meet our numbers.

Deepak Poddar: And when we say sustainable, we are talking about 16% PAT margin, that is the number we are talking.

Sneh Shah: Yes.

Deepak Poddar: So this another question is on receivables. I mean why our receivables is so high, I mean it was around 40 days as of FY '24. Currently it is close to about 200 days.

Sneh Shah: Yeah. So if you see like this data was as on 31st March. And like just an example I'm giving, again, to whatever shipped in January or Feb, probably like we'll start receiving or we have already started receiving that funds in this month. So once like anything we shipped to like their end site or customer once goods reaches like destination, post that, couple of customers, we have the payment terms.

So once we ship it to U.S., after that, they receive it, once they do the IQC or quality check, after that, they will start the payment cycle. So that's the primary reason. I don't think so that is something to worry because this data as on 31st March and we have started receiving, if I

talk about as on today, then we have started receiving the funds and this receivables have gone down significantly.

Deepak Poddar: But the payment cycle in the U.S. is generally how much two months, three months?

Sneh Shah: Again, depends from customer to customer, order type, order base. So there are several factors affiliated with that. Again, just an example, like Danaher Group, they have standard payment terms of 75 days. So for Aimtron, they might not change it. They are global suppliers. They have a global like their own process. So we have to accommodate in their system. So we do like accommodate that like somewhere around in the pricing structure itself. So I believe that is something that we take care prior to sharing the opportunity.

Deepak Poddar: And just one final clarification, the ₹800 crores to ₹900 crores of RFQ that we saw, how much conversion we are expecting in how much month?

Sneh Shah: Yeah, Mukesh.

Mukesh Vasani: I think, so this is something we'll give you like one quarterly update. This time, maybe a quarterly update, we can give you, may not give you a quarterly result, but quarterly update, we will give you little more up to that mark information Agastya has raised the question also, request also. So normally, this kind of customers, again, as I said, we are still ₹150 crores is correct? And next year, maybe still, let's see, whatever 280 plus numbers, whatever we have. Let's say one customer comes as today, this last customer came is ₹128 crores, just one customer.

So it's going to be imbalance everything. So giving a ratio is not a right approach. But I would like to give you some heads up as a thumb rule, 20% to 40% is a winning ratio we have on an average. Again, one customer, big customer we win, there is going to be even one quote, maybe a 10 million quotes is going to imbalance. If I say, okay, our winning ratio is 50%, there is going to be imbalance. But you can just a thumb rule, 20% to 40%, you can see is the winning ratio. Normally, in this EMS industries around 20% global, every body's winning ratio is there, every single EMS supplier.

Deepak Poddar: I think that would be it from my side. And all the very best. Thank you so much.

Moderator: Thank you, Deepak. We'll take the next question from Manan Madlani. Manan, you can go ahead please.

Manan Madlani: Yeah, hi sir. Thanks for the opportunity. My question again is regarding the margins would be. So when I compare H1 to H2, the breakup that you have given, so major change that happened is in industrial. So last H1, it was 56% of overall revenue. In this half, it goes down to 36%. That's the major change I can see. Along with that, our box build share has increased from 20% to 27% and end-to-end from 2% to 4% broadly. So despite our box build segment share gone up, why the margins are lower?

Sneh Shah: So as Manan stated before as well, again, it's a mix and match of sectors. Industrial no doubt, but if you see that there are other sectors that has grown like IoT to say. Then if you compare year-on-year or first half of the year to second half of the year, that has grown. And there are a couple of other sectors in a similar way down. So again, this year also like contribution of box build is going to be much more as compared to last year. And to what margins are then there, it is going to be sustainable for this new financial year as well.

Manan Madlani: Okay. Let me put it differently. So Mukeshji always mentioned that Medtech and defence and all these segments have higher margins, right? So if we compare last half to this half, their share has increased. So why the margins decreased instead of increasing from what we achieved in first half.

Mukesh Vasani: Medtech also, there is a different kind of product, correct? So one of the sensor product we make in Medtech, it's a smaller box. So it's category-wise, I think little bit offsetting the way. But as Sneh said, we will sustain a minimum as I think we are in a still range. Last time also, we said 16 plus minus 2. So when you go, we have a little pressure raising the team, adding infrastructure, getting whole set-up going on.

So there's lot of things going on. So maybe the first year, you can see the same way. Within one year, it will be stabilised everything. And after one year, you will see some standard about Aimtron that this is a margin business, we're going to take it. Right now, what happens, let's see in a ₹200 crore business, ₹250 crore business, there's one order was telecommunication, again last year was ₹38 crore or something. So part of the shipment goes out, it will imbalance the margin also, even though that's a box is a correct router. But a router has maybe

15% margin. I'm not sure exactly I don't have a number versus defence at maybe 22% margin. So it's going to be balanced out.

But again, as I said, I'm totally transparent and not fabricating anything. It's kind of a nature of EMS business that it's very hard to go by compare by line-by-line-by-line. So in short, yes, we're going to make sure that we do not want to take some business less than certain percentage, and that's what we will make sure and we will not take those. But we'll sustain the margin whatever we promise so far and we'll keep it that way.

Manan Madlani: Okay. And this ₹15 crore CapEx we are doing in the U.S. subsidiary, what would be the purpose of that? And in this ₹189 crore order book, is there any order from that subsidiary as of now?

Mukesh Vasani: We are expecting and we already have one of the contract, we said three contract we have, all three foreign contracts. And those are the customer, they do not want to come directly to India and those are the customer we do not want to also go through Aimtron Corporation. So that is the reason we created that subsidiaries. Those orders not in our order books because we have just a contract. Contract means, we sign the MSA master service agreement and we got the POs only for the tooling parts, so let's say, one customer gave us a PO for \$180,000 just plastic mould tooling.

The whole project is totally 23 years about, it's going to be at \$20,000 per month. It's going to be around \$10 million to \$12 million business. So we do not count, unless we got the PO in our hand, we don't count in that. So that's why. But yes, those Aimtron Electronics LLC through we will do definitely sizable business.

Last time, we already said about ₹50 crores, 5 million to ₹50 crores range, and we're going to do plus this time. And we're already now seeing even more opportunity that could be double or triple. We don't know yet, but we'll definitely give you some range.

Manan Madlani: No. So this ₹25 CR, is this going to spend on the manufacturing side? Or what?

Mukesh Vasani: Over there, those ₹25 CR is just we took an Omni approval. So it's not required right now. Right now, we don't need money there at this point. But we are also looking at, as we had last time question, what is your M&A strategy and so we prepare our self. Let's see something happen and maybe they are thinking about there might be some

recession effect comes in U.S. and we can find a good company also, we can pick up that under Aimtron Electronics LLC.

So we'd like to keep prepared for that. And also we don't have to go right away Board meeting and get approval and everything. So that's right. We don't need that money right now. It is just an approval right now. But in future, yes, that money will go as, if we got to do something, we're going to do as either part of M&A or part of CapEx to start some manufacturing let's say, customer insist us and say, okay, we have to have under Aimtron Electronics presence over here and then we're going to give you \$10 million worth of contract.

There might be at that time, we have to use that money. But at this point, we don't have any other extra expense other than we hire one sales office in Texas, and that's what we have right now.

Manan Madlani: Okay. And what sort of hiring we did in H2? And what's the plan for next year, full year?

Mukesh Vasani: Sneh bhai, that's a good questions for you.

Sneh Shah: So in terms of number, I think would the check and keep you posted with business updates, I would say, but there has been rise in number of employees. If you talk about first half and second half and year-on-year. I know the next question coming up would be in terms of why expenses are less as compared to last year. But the reason for that is, we have changed the heads of and bifurcation. And to what first question we stated, like we'll share the business updates on what heads we have added up new and where exactly the changes has been accommodated. So that will be taken care of.

Manan Madlani: No, I'm not worrying about number, I just want absolute number of employee addition for H2 and for next year, given we are going to add the second shift as well. So that's the purpose of my question.

Sneh Shah: H2 as of now was probably around 200. And this year, certainly it's going to rise, it's going to increase. But as of now like, we don't have the exact numbers, but we can keep you posted on that.

Manan Madlani: Okay. And our tax rate has been falling year-on-year. So can you guide us like what would be the tax rate going forward?

Sneh Shah: Nikita?

- Nikita Shah:** Yes, it will be 24% corporate tax.
- Manan Madlani:** And just last question, how much of the total raw material we are?
- Nikita Shah:** As of now, we are planning to have 80 percentage of the raw material. So, it's in line.
- Manan Madlani:** Outside India?
- Nikita Shah:** Outside India. So, still we are working on that.
- Manan Madlani:** Currently, how much of the total raw material we are procuring outside India? That's what I'm asking.
- Sneh Shah:** Okay. So if you say as of now, like you can say 70% above, it is getting procured from out of India. 30% is local, like bare PCB and other like specific mechanical parts. Apart from that, if you talk about electronics, we still have a dependency on global footprints. So because until unless we have a full-fledged ecosystem over here, we might not be able to convert that ecosystem across India. So you can say 70% approximately is getting imported from out of India.
- Manan Madlani:** And out of that import, how much is it from China or Vietnam or any that are tariff sort of like having country?
- Sneh Shah:** Like if you say China probably would be less than, I would say, 50%, 40% less than that. Vietnam, we don't deal with them directly. But then anything is there like it's China, Hong Kong, Singapore, Malaysia, Thailand and such kind of countries, Vietnam their entire thing.
- Manan Madlani:** I will join back in the queue.
- Moderator:** Thank you, Manan. We'll take the next question from Mr. Nilesh Jain. And I would request participants please limit yourself two questions since many are in queue as of now.
- Nilesh Jain:** Yeah. So, I had a question on your current order book which you all have and given the industry classification which you all have given. So I see the share of automobile to increase to almost 20% and then for the FY '25, automobile share was around 6%. So how do you see margins because you said it's going to be sustainable around 16% at the EBITDA level, it's going to be 19% because we now understand

automobile usually has low teens margin. So how do you see that's going to impact your overall margins for the next year?

Mukesh Vasani:

So, this customer is actually, there is two type of automobiles. There's BMS, like battery management solution, those are also very, it's not very low margin though like LED lightings or something tail light, head light, those are the very low margin business. So the one we have right now, and that customer has a very good margin because we are doing a main control board for that. Sneha, you want to add something on this one, why automotive is increasing and margins still stay same?

Sneha Shah:

Certainly, I think to what Mukesh stated, that is one part of it. Another part or if you see another side of it, we have capacity utilisation available. So as of now, we are working one shift and we are planning to add like one more shift, so that is something also that is going to help us out because if you see that like revenue is going to increase on that front and that is how like just an example, anyhow that CapEx has already been there.

And we like internally have one thumb rule that one SMT line we can generate around ₹100 crore worth of business. So considering that we can increase the ROCE well, ROCE ratios and just ensure that whatever like PAT is there, it's sustainable on that front.

Nilesh Jain:

Okay. My second question is a book-keeping data. So out of your FY '25 revenue, how much is from the Aimtron U.S. and Aimtron other group companies?

Sneha Shah:

I believe it is less than 20%.

Nilesh Jain:

Okay, sir. So rest is all you are saying directly from the India business and only 20% you're saying okay. And how should we look at the cash flows because there has been a certain drop in cash flows. Obviously, it's led by impact by working capital. But how should we look at it from the next year point of view?

Mukesh Vasani:

Okay. Go ahead, Sneha.

Sneha Shah:

So I believe I stated before, like this data is as on 31st March. So whatever receivables were there, we have started receiving the receivables. And significantly of that, like you can say 50% or above has already been received. So there won't be any significant challenge on working capital side because if you see as of now, we are a 0 debt

and probably to what we are eyeing at, we are very strong on that front.

So what we shipped on first quarter, we have started receiving that. And certainly, like last two months, we had something like because last month significantly because of this tariff situation, we need to ship lot of business, lot of products. That is where the significant rise has been. But I think this is something this month, we have started receiving the funds. So there won't be any challenge on that.

Nilesh Jain: I mean so on the payable side because that has also gone up a lot. So do you think that is going to come down to average 20, 30 days?

Sneh Shah: Orders, we have to start getting the material, right?

Nilesh Jain: That's right. No, no, but -- okay.

Sneh Shah: So if we don't have the material, how we are going to build it and how we are going to ship it and how we are going to get the payment?

Nilesh Jain: I understand.

Mukesh Vasani: So far, Vinayji, let's take very short and sweet question, so we...

Moderator: Okay, thank you, Nilesh.

Nilesh Jain: Thank you.

Moderator: Yeah, so we'll take the next question from Mr. Manish. Manish, you can unmute and go ahead please.

Manish Gaddam: Yeah, sorry. Yeah, congratulations on excellent set of numbers. My question is, what is the percentage of revenues you received from U.S. customers? And let's say Trump has said that there will be separate tariffs on semiconductor. So if that is applied, then probably even if India makes trade deal with U.S., there is a possibility that this separate tariffs on semiconductors will be an addition to on top of the trade deal, in case if India choose that. So in that scenario, what could be the impact on the company?

Sneh Shah: So, to start with reverse way if they see, so we are into PCB Assembly and box build assembly. So even though they do start something on semiconductor side, if it's specific to PCBA or if it's specific to complete box build, then there is something we are going to get

impacted. Still, it's like they have kept on hold as of now and trade deal is as of now ongoing between both the countries and negotiation phase is ongoing.

So once we have a clarity on that, then it is something we can give you more heads up on that front. But as of now, like with this tariff situation to what it has come across, India is like in one of the lowest country where like in terms of tariff percentage if you see. So and it's like sweet spot stage, whereas if you compare with any other like the Southeast Asian countries where EMS has been to this like 10x, 100x to what India EMS as a sector it's.

And even if you see to what government is promoting as of now, so Government of India has also started some of the schemes and some of the like incentive schemes, PLIs and all that. Also like even Government of India for defence, they have started like, they have restructured their revised target for specific to defence. And by FY 2030, we are eyeing at ₹500 billion in terms of revenue just from the EMS sector.

So if we are eyeing at ₹500 billion, then this is a NITI Ayog report, it's not from some specific private source, it's from NITI Aayog itself. So they are eyeing at 500 billion FY30. So I think we have a significant opportunity coming up down the line.

And coming to your like first question, the contribution of U.S. in second half of the year was somewhere around 36% to 37%, that is including like North America as well as USA.

Manish Gaddam: My last question is, is there any impact in case if China completely stops their supply? Will there be any impact?

Mukesh Vasani: I don't see the impact when COVID started, everybody used to with COVID, is that correct? So there will be a temporary impact all over the globe, but it's going to be back up like a hockey stick. We're going to send back. So at this point, at EMS for at least one year, we don't see direct impact. But let's see if it goes after one year and stay something longer between China, U.S. I think everybody is going to solve the problem. That's what everybody is seeing. Maybe 26% versus 13% or maybe 18% or maybe 10%. But it will be resolved pretty soon. That's what we are hoping.

Manish Gaddam: Okay. Yeah. Thank you. All right.

- Mukesh Vasani:** Thank you, Manishji.
- Moderator:** Thank you, Manish. We'll take the next question from Arun Ramakani. Arun, you can unmute and ask your question please.
- Arun Ramakani:** My question was, so since we are facing a unique situation where lot of opportunities are coming for China +1, is the current capacity is enough for scaling up? Or do you see that we need to scale up to an extent?
- Mukesh Vasani:** So current capacity, we are ready for ₹500 crores right now as of today. And we already announced that before previous call also. So our current capacity without maybe minor CapEx, let's see one tools here and there, ₹5 crore, ₹10 crore, but we don't need any more. We have enough infrastructure, enough building, enough real estate our own zero debt. So everything is in place to spike to even if Sneh can bring ₹400 crore, we can build it. Is that correct, Jayaram?
- Sneh Shah:** Yes.
- Mukesh Vasani:** Yes. I hope I answered your question, Arun?
- Arun Ramakani:** Yes. So one of my follow-up question was, provide we have an exceptional situation where do you see in case of any supply chain disruption from countries like China or any East Asian countries, do you have a strategy in place to overcome such challenges in terms of raw material procurement?
- Mukesh Vasani:** So only PC board is a China monopoly. There is some electronic component, but China is going to throw the other countries. I think China already started building relation with Thailand and other countries, and they already started putting their infrastructure companies and branches and everything. So China will always find a way around and people will also find around a way.
- So I don't see a very serious problem that way. Yes, maybe will be impact 5%, 10% extra logistic here and there, one place to another place. Right now, let's see. I should not say in publicly, but one of my customer said in front of us, can you bring PC board from India to here, do some assembly over there and bring it over here because they're also looking something like that. So everybody wants to get a better pricing and better way out.

So at this point, it's kind of a man-made problem. So there is a solution. If it's a natural disaster, then it's very hard to find a solution like COVID. But this is a man-made problem, this problem made by two men. So it's kind of a political problem. So that's why in our last meeting, this kind of association meeting, we discussed that also point, yes, somebody will have to pay a little bit extra. On an average, 4% to 5% extra goes to end user or customers or direct customer like me and you will pay extra, but there is a solution. So it's not like an unsolvable problem. I hope I answered your question?

Arun Ramakani: Yeah. Thank you. I think I'm good with my questions. Best of luck for Aimtron to grow a lot.

Moderator: Thank you, Arun. We'll take the next question from Mr. Manoj. Manoj, you can go ahead, please.

Manoj Kulchandani: I'd just like to ask Mukesh that things now are different and I mean previously, he said that the long-term plan for Aimtron is to fold Aimtron Corporation into Aimtron Electronics. So now with the tariff situation, are you facing some clients who say that, no, we don't want to work with India, we just want everything made in the USA?

Mukesh Vasani: As I said, this is still too early to even predict anything. Tomorrow morning, this man had a good sleep and he's is going to saying something different. So I'm just because in my country also. Again, yes, I don't see that issue right now. Still, we have the same plan. And that is the reason we create Aimtron Electronics LLC in the U.S. We are still moving forward with the same previous understanding that before I retire, I would like to put under one umbrella.

And maybe something comes totally here, we'll give you some heads up, but I don't see that. Without India, whole world cannot survive. Without China, whole world cannot survive. They have to have find a way out. It's my strong statement. But they will find a way out, let's put that way. They will find a way out and they'll find a solution.

Manoj Kulchandani: Is there an internal target for you all to just incrementally shift that Aimtron Corporation to Aimtron India? I mean a certain percentage...

Mukesh Vasani: We started the business moving to Aimtron Electronics LLC. And maybe we can surprise you and we bring those three, four customers right away and we'll see. But we already started the process. We already started the process.

- Manoj Kulchandani:** So is it possible that by the time we shift to the main board, everything is under Aimtron Electronics India?
- Mukesh Vasani:** That's too early to say. But we should have something bigger. That's our goal is to have Sneh and my dream is to have some kind of a new, what you call, Sneh, a new...
- Sneh Shah:** Benchmark as an SME company before it goes to main board.
- Manoj Kulchandani:** I like that. So my next question is Sneh...
- Moderator:** Manoj, you have to limit the question, because there are a lot of participants.
- Manoj Kulchandani:** No, no, I just have one question only till now. Just a final question to Sneh. Yeah, so I just wanted to ask him about the second and the third shift. So I believe that the second and third shift come on, our margins will also get squeezed as the product profile will be different. Is that correct?
- Sneh Shah:** So just to give you like one example on like practical basis. Just an example, say like first shift as of now to what we are working has 25% as on PAT. I'm giving a rough example, don't take into any calculations. Similarly, you say like second shift you started working and you have like, say 10% as an or 15% as an PAT. So if you average it out, it is going to be still the same margin to what we are going to make it out. And if you see that overheads are getting splitted up and CapEx is the same. So then revenue to what scalability we are eyeing at. So with that same kind of margin, it's something that is still, we have assured that in this call also before that we are going to have the sustainable margin and we'll just ensure that ROCE goes up with the equipments that we already have minor CapEx here and there by a significant one to reach the milestone of 450 to 500.
- Manoj Kulchandani:** All right. Thank you so much. That's all from my side.
- Moderator:** Thank you, Manoj. We'll take the next question from Ravi Gupta. Ravi, you can unmute and go ahead please.
- Ravi Gupta:** Firstly, congratulations on very good set of numbers. As a shareholder, I feel very happy to see this year-on-year growth in the slowdown phase. Just two small questions. First, do we have any fund raising plan in the upcoming like not upcoming this financial year, '25, '26?

Mukesh Vasani:

So at this point, it's too hard to say, but we have a lot of opportunities. We try to see if there is a right opportunity we can maybe get something lined up. If there's a recession in the U.S., let's see, for example, and we find a good opportunity, then we can jump on to that and we can come to go to fund raising and then get the funds. Also, kind of a fund raising also, we also thought that in the past, but we need to show, let's say, Sneh has said 280 plus is the correct number for this current year. So let us prove that also one more time because this time, we prove it is correct. So we crossed 150, we gave around 150, we crossed 150. Let's get crossed, let's say 300.

And then I think we go to market and get the fund raising without showing any result, I think it's going market also is not the right approach to get justified also. And if no need, then no need is correct, why we take the money or why we borrow money, if no need. And that's what I learned from my home village. My parents say, don't take a loan, don't take money from bank. So that is something in our culture also.

But with that said, we are not rigid. We are flexible. We have well-known companies approach us here. Thanks to Vinayji also. We have a very good IR team. And they are also ready to put bank money on us also. But right now, we're working both way, keep our relationship open, working with them, meeting with them and finding the right opportunity to put together, all together.

Ravi Gupta:

Okay. Understood. So my question was primarily on like equity side. Debt is like separate for fund raising part, but I think for equity also we have similar thoughts that if situation rise, then only we would like to raise. Otherwise, we are comfortable and firstly focusing on delivering 280. Is my understanding correct?

Mukesh Vasani:

Correct.

Ravi Gupta:

Okay.

Mukesh Vasani:

Sneh, you want to add something? I'm okay with that.

Sneh Shah:

No, I think we are perfectly okay as of now, we cover all overs that are going on EPR ratios and all. And in case if we go anything on inorganic front, then still we have open our debt as an option available. So equity is precious to dilute. So we are still like too early, I would say to have fund raising and all that.

- Mukesh Vasani:** Why I said, Sneh if you want to add, because he just came out management KPI meeting today. We have just raised at 4 o'clock today. And he actually normally Chairman don't have to do anything, but they give KPI for ₹100 crore. So things on in activity, so there is a good thing on side, but anyway continue, thank you.
- Ravi Gupta:** So my second and last question will be, what are the projections for like top line for FY27 and '28?
- Sneh Shah:** So next year like, we are eyeing at as of now 280 plus. Let's keep with that number first. And once we prove on that, definitely, I think we are not going to go anywhere. So post that, we can help you out with future projections. We do have three years plan. But as of now to keep you posted as per like guidance, next year we are eyeing at more than 270, 280 plus.
- Mukesh Vasani:** Also, I think there's a lot of uncertainty, right now situation is uncertain. So whatever our promise is to retain until a certain level, we will stay in the 50%, 60%, 70% CAGR. So that is our standard right now. And we stay plus/minus 15, 15 plus, minus 15.
- Sneh Shah:** So, Mukesh, within one year, they have changed us from 40%, 50% to 60%, 70% CAGR growth.
- Mukesh Vasani:** No, I think whatever you gave the number 280 plus, that means it's 60%, 70%.
- Sneh Shah:** Correct, I agree. But I'm talking about the community from their end that already they made us to talk on more than 40%, 50% plus now.
- Mukesh Vasani:** Anyway, but I think let's take the next question. Thank you, Ravi.
- Moderator:** Thank you, Ravi. We'll take the next question from Prateek Chaudhary. Prateek, you can unmute and go ahead please.
- Prateek Chaudhary:** Congratulations. I just have a bookkeeping question. Out of this ₹100 crore that we build in the second half, how much did we do if you can bifurcate between Q3 and Q4?
- Sneh Shah:** Sorry, if you can reframe the question?
- Prateek Chaudhary:** Out of the ₹100 crore...

Mukesh Vasani: Prateekji, it might be around 50-50, but we'll give you exact number if you need it. So question is Q3 and Q4, what was the revenue? But I think Q4 was slightly higher than Q3, together all EMS at least Aimtron EMS side. Q1 is little lowest, around 35%, Q2 is around 40%, Q4 is around 50% to 60% range. So I think that's where we have if you look at the last three years. But we can give you exact number if you need, we can look at later on.

Prateek Chaudhary: Okay. Thank you.

Mukesh Vasani: Thank you, Prateekji.

Moderator: Thank you, Prateek. We'll take the next question again from Pratik Bagadia. Pratik, you can go ahead please.

Pratik Bagadia: Yeah, hi guys. Thanks for giving me this opportunity. All my questions are answered, so I won't repeat those questions. Just one suggestion from my end that since we are giving results once in six months, is there a way where we can give some updates every quarter, maybe through a press release or something where you can share about the business operations and how things are progressing? Because what happens is six months is a very long time for retail investors to get access to information. And in such times, there are lot of rumours starts to float on social media and in different circles. So, if every three months or maybe something in between, if you can come up with some press release or some updates about the company, the operations and how things are going, it would be very, very helpful for lot of investors.

Mukesh Vasani: It's a good suggestion and we already promised Agastyaji, the first question was the same. I think we'll do some kind of press release if possible as soon as. Our goal is actually have a quarterly result, because when we go to the main board, we have to do that practice anyway. So hopefully, next year, we have two years most of all the documentations contract with our internal auditor and everybody, it's kind of a six month way. But we already started that process.

Our advisory CA, Divyakant Zaveri also told us that we should go for quarterly result, and we are in agreement also. But before that also, we'd like to make sure our ducks in the row. So we will try to put all this documentation process, financial process, we are as per the street requirement, and that's what we are learning right now and putting the right team in right place, that's what we are doing right now.

Pratik Bagadia: Yeah, I completely understand because coming up with quarterly results will have a lot of documentations and rules and regulations to follow. But till time we get to that process, even if a small press release about the business operations would be very helpful for a lot of investors because that will keep rumours aside.

Mukesh Vasani: We are not worried about the quarterly result or documentation process, because we would love to do documentation process, and that's the reason we would like to go for it. But this first two years, like internal auditor and all those people, we had decided that we're going to go first two years half yearly. But yes, we will do a press release or a business update for sure.

Pratik Bagadia: Thanks a lot.

Moderator: We'll take one last question from Mr. Giri. Giri, you can unmute and go ahead please.

Giri: Yeah, hi Mukesh and Sneh. Good job done. Two questions. First one would be way forward, what kind of a geography-wise revenue mix road map that you guys plan to push in yourself? Currently, I think India is about 65%, rest of the world is 35% with 31% of U.S. and few other countries. So where do we plan to push in our self and off the ₹800 crore enquiry that you have, right, what kind of a geography mix that we have in place?

Mukesh Vasani: So again, as I said in a previous answer in previous question, when you have a ₹300 crore revenue, it's very hard to give you some kind of estimate. I hope I'm clarifying, I'm communicating maybe Nirmal or maybe Sneh also can add later on. Because the one big order comes from one place, it's going to imbalance everything. But yes, our goal is to stay international MNC and it's going to be around 70%, 80%, that's what we said previously. That means 50%, let's say, we have Indian business, but out of 50%, 20% may be local Indian companies and 30% maybe Indian international MNCs like Schneider or may be ABB or maybe another international companies if we can grow, those are the companies we would like to focus. So that is always way out that way.

Also, in a newer opportunity, we are trying to focus more through international in U.S. or North American business, still, even though this tariff situation, 10% paying tariffs still my customer saying, he is bringing from India is a lot cheaper than bringing from any other countries. So I think other than China, we are the winner. If this

situation stays longer with China and U.S., then India will be the winner because even 10% tariff, they will be happy to cope up with that. So...

Giri: Got it. Last question, Mr. Mukesh, can you reflect on the ₹25 crore electronic component scheme that Ministry of Finance has passed, right, related to the sub-assembly of PCBs, right? How are we going to harness this scheme?

Mukesh Vasani: I didn't follow, Sneha?

Sneh Shah: So we are evaluating on three four prospects as of now. One is the PLI that has been recently released by Government of India. This is the second one that you stated. So probably like this evaluation is ongoing and probably before end of this month, we have some fruits on that. We are internally discussing like with some experts with LC9, couple of ESC and a couple of other electronics body. Post our discussion, we'll have some fruits on that front. So I would say like within more a week to 10 days' time, we'll have some updates on.

Giri: Got it. Okay. Thank you.

Vinay Pandit: Thank you. Due to paucity of time, that was the last question for the day. Mukeshji and Sneha, would you like to give any closing comment before we end this conference call?

Mukesh Vasani: I think I would like to say thank you to everyone also. Just like one thing we learnt today is, we will make sure that press release is required, interim results is required. Hopefully, is a quarterly financial is possible as soon as possible. So we put it in place. One thing is sure that we are ready to go main board and we are excited to go main board. So for that also, then and then we can also justify, when lot of questions comes how we're going to combine all the business and all these things. So we are ready for that.

And in parallel, we are also in expansion mode. At this time, it's too early to say, but as Sneha said, it's a \$500 billion worth of opportunities in India itself from other international MNC and local Indian companies. So there is lot of opportunities we have in all. So there will be a lot of expansion opportunities also parallelly we are working with our advisory board. And then when something comes up, we'll let you know.

Opportunity for Aimtron is more. But we are more kind of as I said also last time, our goal is to go one step at a time. We don't want to rush too far and keep off. Even though we rush this time and we learned little should have a couple of days more, and then we could have a better understanding, better result. But that's what we are learning right now.

With that said, again, thank you so much, everybody. And maybe any time, any questions, please send it to cs@aimtron.com, and we'll go from there.

Vinay Pandit:

Thank you. Thank you to the management team for giving us their time. Thank you to all the participants for joining us on the call. This brings us to the end of today's conference call. You may all disconnect now. Thank you.

Mukesh Vasani:

Thank you. Bye.

Sneh Shah:

Thank you.